

He found companies trading for less than the value of the cash and securities they owned. So he bought them, liquidated them and then took the cash and did it again ... and again. Of course, to do this, he had to have a little money at the bottom. And he did.

Odlum was either lucky or prescient, because he avoided much of the pain of the 1929 crash by selling some of his investments beforehand — leaving him with some \$14 million of fresh cash to take advantage of opportunities. So, don't be afraid to hold onto cash until you find those special 100-bagger opportunities.

As Odlum's career shows, bad times create those big opportunities.

## **Memories of the Great Depression — From A Wall Street Trader**

Wall Street trader David Feldman lived through the Great Depression.

In 1997, at the age of 87, he set down his thoughts in a little memoir titled *Ups and Downs of a Wall Street Trader during the Depth of the Great Depression of the 1930s*. It's interesting that he felt the need to append "of the 1930s" to his title, so as not to confuse it with others that would follow.

It was a brutal time. A short table of some issues selected at random by Feldman shows the damage:

|                       | <b>1929</b> | <b>1932</b> |
|-----------------------|-------------|-------------|
| <b>Stock</b>          | <b>High</b> | <b>Low</b>  |
| General Electric      | 403         | 8½          |
| Otis Elevator         | 450         | 9           |
| Republic Steel        | 146¼        | 1⅞          |
| Warner Bros. Pictures | 64½         | ½           |
| Johns-Manville        | 242¾        | 10          |
| Spiegel-May-Stern     | 117⅞        | ⅝           |

Another writer on the Depression, Frederick Lewis Allen, wrote about how the market was "so honeycombed with credit ... [that it] became a beautifully contrived system for wrecking the price structure."

We saw that happen in 2008 with the forced liquidation of hedge funds and other investors operating with too much debt. Stocks dropped like birds shot out of the sky. Were the price drops entirely rational in